Type MS · Productivity and how to raise it

Answer 1 of 11 · Question 2 part f · 3 marks

2025 NOV · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| 2(a) | **AO2 1 mark**<br><br>The only correct answer is:<br>**C** Most efficient<br><br>A is not correct because this would be to the right of 'X'<br>B is not correct because external economies of scale are not specifically shown on this diagram<br>D is not correct because the diagram does not show profit | **(1)** |

| **Question number** | Which **one** of the following is the most likely cause of economic growth?<br><br>**Answer** | **Mark** |
|---|---|---|
| 2(b) | **AO1 1 mark**<br>The only correct answer is:<br>**B** An improvement in efficiency<br><br>A is not correct because this may hinder economic growth<br>C is not correct because this would reduce economic growth<br>D is not correct because this would not lead to economic growth | **(1)** |

Type MS · Productivity and how to raise it

Answer 1 of 11 · Question 2 part f · 3 marks

2025 NOV · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

| Question number | Calculate, the **total revenue** for the shop in August. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|
| 2(c) | **AO2 2 marks**<br><br>Award 1 mark for showing the correct calculation<br><br>(227 + 133 + 179 + 301) x $3.50 **(1)**<br><br>**OR**<br><br>840 x $3.50 **(1)**<br><br>Award 1 mark for calculating the correct total revenue = $2 940 **(1)**<br><br>Award 2 marks if the total revenue is correctly calculated as $2 940, even if no calculations are shown<br><br>Award 1 mark if the answer given is 2 940, with or without calculations shown<br><br>Do not award marks for a formula | **(2)** |

| Question number | What is meant by the term bureaucracy?<br><br>**Answer** | Mark |
|---|---|---|
| 2(d) | **AO1 2 marks**<br><br>Award up to 2 marks for a correct definition<br><br>A system of administration **(1)** that uses a large number of departments/officials **(1)**<br><br>Accept any other appropriate response | **(2)** |

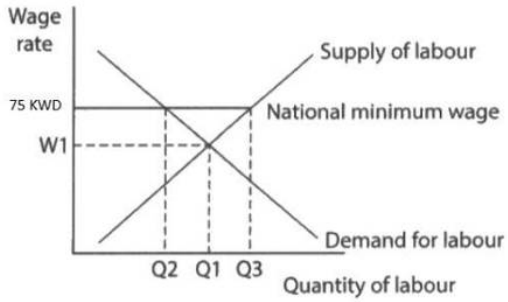
Type MS · Productivity and how to raise it

Answer 1 of 11 · Question 2 part f · 3 marks

2025 NOV · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

| Question number | Describe **one** government policy to encourage positive externalities.<br><br>**Answer** | Mark |
|---|---|---|
| 2(e) | **AO1 2 marks**<br><br>Award 1 mark for reference to the policy and 1 mark for development of the policy<br><br>Subsidies **(1)** to encourage the production/consumption of goods (that have external benefits) **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question number | Explain **one** way an improvement in drainage may affect the productivity of Indian farmers.<br><br>**Answer** | Mark |
|---|---|---|
| 2(f) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant way<br>Award 1 mark for developing the way<br>Award 1 mark for the response being in context<br><br>Drainage would reduce flooded areas of land **(1)** meaning farmers could grow more crops on the newly available land **(1)** increasing the output/leading to higher productivity **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question number | With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait.<br><br>**Indicative content** |
|---|---|
| 2(g) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Having a minimum wage means a higher income is received by people who may have struggled with basic needs than if the national minimum wage was not in place<br>• A minimum wage may affect the demand for labour because firms may need to pay their workers more in exchange for the work carried out<br>• Therefore, it could increase the costs of the firms and consequently, may reduce profit<br>• Possible use of a diagram:<br><br>  <br><br><br>• As the wage rate increased from W1 to the minimum wage (75 KWD) it means that fewer workers may be employed by the firms, so the quantity of labour demanded may decrease from Q1 to Q2<br><br>**AO4**<br><br>• However, some firms may already have been paying its workers above 75 KWD per month<br>• Therefore, the legislation would not cause a change in the costs of those firms and consequently it may not affect their profits<br>• This may mean that the demand for labour is unchanged<br>• Despite this, the introduction of a minimum wage may put pressure on firms to maintain a higher wage rate to retain workers, meaning demand for labour may still decrease<br>• It may depend on the number of firms paying at or above the minimum wage before its introduction |

Type MS · Productivity and how to raise it

Answer 1 of 11 · Question 2 part f · 3 marks

2025 NOV · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Productivity and how to raise it

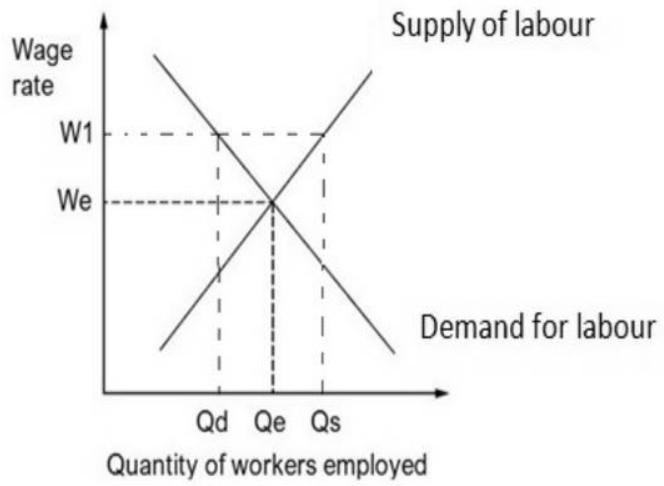
### Answer 1 of 11 · Question 2 part f · 3 marks

2025 NOV · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

| Question number | Which **one** of the following may be a reason why a firm stays small?<br><br>**Answer** | Mark |
|---|---|---|

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>**D** An inferior good | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>**B** An increase in bureaucracy | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for drawing equilibrium wage rate, labelled<br>Award 1 mark for new quantity demanded, labelled<br>Award 1 mark for new quantity supplied, labelled<br><br>  <br> | **(3)** |

Type MS · Productivity and how to raise it

Answer 2 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• There may not be enough people in Canada undertaking the required training to gain the specialist skills and qualifications required<br>• This may be because it takes too long or costs too much for the training<br>• Canada is a very big country and so it may be difficult for the specialist workers to move from their geographic locations<br>• There may have been a faster increase in demand for the specialist skills such as computer engineers and web designers, than the supply of them<br>• Wages and rewards for the computer engineers/web designers may be higher in other countries, encouraging workers to leave Canada |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Productivity and how to raise it

Answer 2 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Skills could be gained through education in schools and colleges leading to qualifications in technical areas relevant to business<br>• Skills can also be gained through work place training by employers<br>• Through education and training, workers will be more skilled and may therefore be more productive. This could lead to an increase in international competitiveness<br>• Workers may be more motivated as a result of the training, leading to greater job satisfaction, lower labour turnover and improved productivity<br>• Through improved human capital the quality of labour is greater and productivity can be increased. This could mean income per capita increases<br><br>**AO4**<br><br>• However, the cost to the firm of staff training/the Canadian Government of providing education may be too great compared to investing in technological advances<br>• The firm may be reluctant to invest in human capital if it pays to train workers but they then leave for alternative employment.<br>• Increasing technological developments may be more financially viable.<br>• To be effective the quality of the training needs to be of a high enough standard to meet the requirements of the work place<br>• It takes a long time for the benefits of education to lead to increased productivity. This could explain why Canada's labour productivity growth took time to become the 3rd most productive of the leading economies<br>• It depends on the nature of the industry, some industries are better suited to having highly skilled workers e.g. service industries<br>• Whereas some industries suit increased automation and use of technological advances rather than investing in human capital |

Type MS · Productivity and how to raise it

Answer 2 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Productivity and how to raise it

### Answer 2 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|

Type MS · Productivity and how to raise it

Answer 3 of 11 · Question 2 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO2 1 mark**<br><br>**D** Most efficient | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br><br>**C** Producer demand for labour to make goods | **(1)** |

Type MS · Productivity and how to raise it

Answer 3 of 11 · Question 2 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(c) | **AO2 2 marks**<br><br>Award 1 mark for identifying the fixed costs<br>40 250 + 10 125 **(1)**<br><br>Award 1 mark for calculating total fixed costs<br>= 50 375 Rs **(1)**<br><br>Award 2 marks if total fixed costs are correctly calculated as 50 375 Rs, even if no calculations are shown<br><br>Award 1 mark if total fixed costs are correctly calculated as 50 375 even if no calculations are shown<br><br>Do not award marks for a formula | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 2(d) | **AO1 2 marks**<br><br>Award 1 mark for reference to amount willing and able to be purchased and 1 mark for reference to price<br><br>The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 2(e) | **AO1 2 marks**<br><br>Award 1 mark for reference to the policy and 1 mark for development of the policy<br><br>Taxation **(1)** to reduce the consumption of a demerit good that is over consumed **(1)**<br><br>Accept any other appropriate response | **(2)** |

## Type MS · Productivity and how to raise it

### Answer 3 of 11 · Question 2 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(f) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant way<br>Award 1 mark for developing the way<br>Award 1 mark for the response being in the context<br><br>Irrigation would help the crops to grow **(1)** meaning farmers could grow more crops using the existing resources available **(1)** increasing the output and leading to higher productivity **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Productivity and how to raise it

Answer 3 of 11 · Question 2 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 2(g) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br>• Business aims may include maximising profit, caring for customers, completing charitable work or maximising revenue/sales<br>• When they set up the café, Jo and Fiona aimed to help young people in their local area and so making a profit was not their priority<br>• Because there have been complaints about the length of time it takes customers to receive orders, the number of customers may fall<br>• This may mean the sisters are unable to employ as many waiters and waitresses and even go out of business if they do not change the focus of their aims<br>• In addition, the use of more experienced employees may lead to improved productivity and therefore profit could increase<br>• By now focusing on increasing sales or making a profit, Jo and Fiona may be able to increase the number of customers visiting Lanterns which could help it stay in business<br><br>**AO4**<br><br>• However, some customers may visit the café because they like the sisters' aim of helping young people in the local area<br>• Therefore if these waiters and waitresses are replaced with experienced employees, Lanterns may lose these customers, meaning the café is unable to stay in business<br>• More experienced employees may demand higher wages and therefore increased costs. As a result this may not lead to increased profits<br>• It may be more important to focus on caring for customers by spending longer training the inexperienced staff<br>• This means Jo and Fiona would still employ young people from the local area but would also be trying to solve the problem of orders taking too long |

## Type MS · Productivity and how to raise it

### Answer 3 of 11 · Question 2 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–3** | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| Level 2 | **4–6** | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| Level 3 | **7–9** | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Productivity and how to raise it

### Answer 3 of 11 · Question 2 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|

Type MS · Productivity and how to raise it

Answer 4 of 11 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **4(a)** | **AO2 2 marks**<br><br>Award 1 mark for selecting product Y **(1)**<br><br>Award 1 mark for correct total revenue<br>$1 650 x 20 = $33 000 **(1)**<br><br>Award 2 marks if total revenue is accurately calculated as $33 000, even if no calculations are shown<br><br>Award 1 mark if the answer given is 33 000 with or without calculations shown<br><br>If product X is selected, and a correct calculation of $37 500 given, award 1 mark<br><br>Do not award marks for a formula | **(2)** |

| Question number | Indicative content |
|---|---|
| **4(b)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• The supply of labour refers to the quantity of labour (employees) willing and able to work at any given wage<br>• (Occupational) mobility of labour is where workers have the ability to move between different types of employment, such as artist to art teacher<br>• The supply of labour is likely to increase when it is easier for workers to move to different types of employment<br>• For example, they are able to leave an industry where there is little employment such as selling paintings in small craft shops in order to find work in an industry that needs more employees such as teachers<br>• By providing a scheme to help applicants train to be teachers, the government are providing an opportunity to increase the supply of labour<br>• This is because it would allow more people to become mobile between different types of employment |

## Type MS · Productivity and how to raise it

### Answer 4 of 11 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–2** | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| Level 2 | **3–4** | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| Level 3 | **5–6** | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Productivity and how to raise it

Answer 4 of 11 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 4(c) | **AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)**<br><br>**AO2 and AO3**<br><br>• Productivity is the amount of output that can be produced with a given amount of resources<br>• By using technology (a form of capital) such as tablets, restaurants can replace waiters in an attempt to be more efficient<br>• Restaurants may therefore be able to take orders from customers faster due to the use of technology but at a lower cost because the tablets will be cheaper to run than labour<br>• This may make the restaurants more productive as they can increase output and serve more diners due to the increased use of technology<br>• This increase in productivity may allow the restaurants to invest in further capital and therefore become even more productive in the future<br><br>**AO4**<br><br>• However, it may take longer for orders to be placed if customers are confused about how to use the tablets, reducing productivity<br>• It may be necessary for labour to be used (initially) to assist diners when they are using the tablets and so the need to use extra resources could mean it is less productive in the short run<br>• Errors in ordering could lead to the wrong meals being prepared which could make the restaurants less productive if they have to correct mistakes<br>• Overall, it may be less productive for restaurants to increase the use of technology in the short run while the restaurant initiates use of the equipment<br>• This may depend on how quickly customers adapt to the changes<br>• However, in the long run, because they may have been able to resolve any difficulties faced by the use of technology, productivity in the restaurants may have increased |

Type MS · Productivity and how to raise it

Answer 4 of 11 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–4** | • Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4). |
| Level 2 | **5–8** | • Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4). |
| Level 3 | **9–12** | • Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4). |

## Type MS · Productivity and how to raise it

### Answer 4 of 11 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

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Type MS · Productivity and how to raise it

Answer 5 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

| | | |
|---|---|---|
| 1(a) | **AO1 1 mark**<br>The only correct answer is:<br>**D** They may complete charitable work<br><br>A is not correct because this would maximise their profit<br>B is not correct because this may help to maximise their profit<br>C is not correct because this alone does not determine profitability | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(b) | **AO2 1 mark**<br>The only correct answer is:<br>**B** A normal good<br><br>A is not correct because it has nothing to do with YED<br>C is not correct because the YED will be greater than 1<br>D is not correct because the YED will be negative | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(c) | **AO1 2 marks**<br><br>Award 1 mark for reference to the amount of output and 1 mark for reference to the input<br><br>The amount of output produced **(1)** in relation to the resources used **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(d) | **AO1 1 mark**<br><br>Award 1 mark for correct formula<br><br>Private costs + external costs | **(1)** |

Type MS · Productivity and how to raise it

Answer 5 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

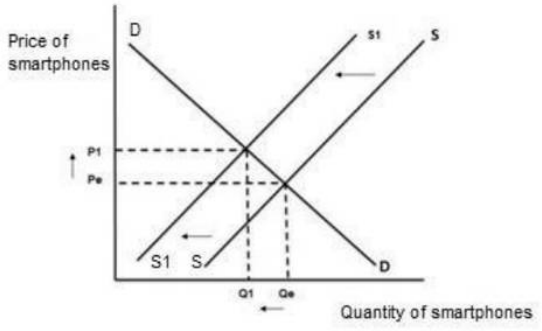
| Question number | Answer | Mark |
|---|---|---|
| 1(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>A person/company/country that supplies goods and services<br><br>Accept any other appropriate response | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>50 000 + (250 x 750) **(1)**<br><br>Award 1 mark for correct total costs<br>= $237 500 **(1)**<br><br>Award 2 marks if total costs per month are correctly calculated as $237 500, even if no calculations are shown<br><br>Award 1 mark if the answer given is 237 500, with or without calculations shown<br><br>Do not award marks for a formula | **(2)** |

Type MS · Productivity and how to raise it

Answer 5 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of supply, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(h) | **AO2 3 marks**<br><br>Award 1 mark for identifying a reason<br>Award 1 mark for developing the response<br>Award 1 mark for the response being in context<br><br>• To protect consumer interests **(1)** because firms may charge higher than the 0.8% daily cap **(1)** causing financial harm to consumers **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Productivity and how to raise it

Answer 5 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 1(i) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Economies of scale result in falling average costs due to expansion<br>• Technical economies of scale occur when larger firms can make better use of machinery than smaller ones<br>• As Cutting Edge attracted more customers, it received more work that may require use of a powerful saw<br>• This means it was cost-effective to purchase the equipment because the resource could be used a lot more than when Cutting Edge was only asked to cut through a small number of trees<br>• This is because the price of the powerful saw can be spread between more gardening jobs |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Productivity and how to raise it

### Answer 5 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|

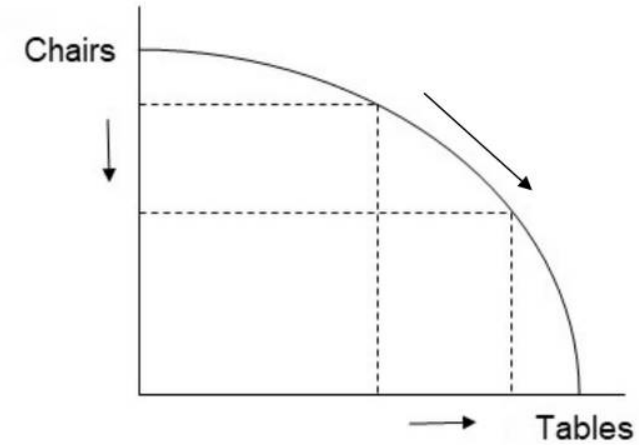
Type MS · Productivity and how to raise it

Answer 6 of 11 · Question 3 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** government intervention<br><br>A is not correct because a pollution permit is not a resource used to produce goods and services<br>C is not correct because a pollution permit does not have reduced average costs due to expansion<br>D is not correct because these are things expected to be true although there is no definite proof | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Increase in the use of fertiliser<br><br>B is not correct because this would lead to a decrease in productivity<br>C is not correct because this is not related to the productivity<br>D is not correct because this would lead to a decrease in productivity | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for drawing a production possibility frontier (PPF) with correctly labelled axes **(1)**<br>Award 1 mark for showing a decrease in chairs on the PPF **(1)**<br>Award 1 mark for showing an increase in tables on the PPF **(1)**<br><br>  <br> | **(3)** |

Type MS · Productivity and how to raise it

Answer 6 of 11 · Question 3 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit<br>• Vaccinations such as the MMR would provide an external benefit to people who do not receive the vaccination because there is less chance of contracting measles, mumps or rubella<br>• This is because if more people are vaccinated with MMR, there is less chance of them passing on the diseases<br>• Therefore there would be fewer people in England with measles, mumps or rubella, even if they did not receive the vaccination themselves<br>• The NHS would prefer more children to have the vaccination because it would reduce the spread of disease<br>• A healthier workforce would lead to higher levels of production |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Productivity and how to raise it

Answer 6 of 11 · Question 3 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br>• The quantity of workers whom producers are willing and able to employ is known as the demand for labour<br>• It can be affected by demand for the product, productivity and availability of substitutes, such as machines<br>• This means that the advancement of technology in the retail sector has seen labour being replaced by machines<br>• Therefore, fewer employees would be needed in shops such as those in town centres, especially as at least 10% of shops have been vacant for the last five years<br>• As a result, the demand for labour is likely to be reduced by the availability of substitutes<br><br>**AO4**<br>• However, labour is still needed to develop, build and maintain the machines<br>• As the percentage of online sales is now above 20% of total retail sales, more employees will be needed to meet this online demand, including warehouse operatives and postal workers to deliver retail orders<br>• Therefore, although certain types of labour may reduce (such as shop workers), other types may increase (such as software developers)<br>• As a result, the demand for labour will not always be reduced due to the availability of substitutes |

## Type MS · Productivity and how to raise it

### Answer 6 of 11 · Question 3 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Productivity and how to raise it

### Answer 6 of 11 · Question 3 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|

| | | |
|---|---|---|
| **2(a)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** Oligopoly<br><br>A is not correct because it does not show employment levels<br>B is not correct because this is a sector not a market<br>C is not correct because there is more than one firm | **(1)** |

| **Question number** | An increase in which one of the following is most likely to increase productivity?<br><br>**Answer** | **Mark** |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br>The only correct answer is:<br>**C** Irrigation<br><br>A is not correct because this is likely to reduce productivity<br>B is not correct because this increases time and costs<br>D is not correct because this increases tasks for the firm to carry out | **(1)** |

| **Question number** | What is meant by the term barriers to entry?<br><br>**Answer** | **Mark** |
|---|---|---|
| **2(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to obstacles and 1 mark for reference to making it difficult for new firms to enter a market<br><br>These are obstacles **(1)** that make it difficult for a new firm to enter a market **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Productivity and how to raise it

Answer 7 of 11 · Question 2 part b · 1 mark

2023 JAN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

| Question number | Calculate the total costs per month for the firm. You are advised to show your working.<br><br>**Answer** | **Mark** |
|---|---|---|
| **2(d)** | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>$57 000 + ($750 x 1820) **(1)**<br><br>Award 1 mark for correct total costs<br>= $1 422 000 **(1)**<br><br>Award 2 marks if total costs per month are correctly calculated as $1 422 000, even if no calculations are shown<br><br>Award 1 mark for 1 422 000, even if no calculations are shown<br><br>Do not award marks for a formula | **(2)** |

| Question number | Describe one disadvantage for a government of using subsidies.<br><br>**Answer** | **Mark** |
|---|---|---|
| **2(e)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the disadvantage and 1 mark for development of the disadvantage<br><br>• There may be an opportunity cost. **(1)** The money spent on the subsidy may be more effective if spent on other government projects **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Productivity and how to raise it

Answer 7 of 11 · Question 2 part b · 1 mark

2023 JAN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

| Question number | Explain one reason why Heather may have decided to keep her business small.<br><br>**Answer** | Mark |
|---|---|---|
| 2(f) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• The size of the market. **(1)** There may already be a high number of restaurants in the area **(1)** meaning Heather does not want to try to compete with other restaurant chains **(1)**<br><br>• Access to finance may be difficult for a small business **(1)** because banks/lenders may believe it is too much of a risk, **(1)** so Heather may not be able to afford to buy the new premises necessary to open another restaurant **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Productivity and how to raise it

Answer 7 of 11 · Question 2 part b · 1 mark

2023 JAN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale.<br><br>**Indicative content** |
|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Economies of scale occur when average costs decrease as a firm expands<br>• A merger between CK Hutch and Indosat would lead to a new, larger telecommunications firm<br>• Larger firms can usually operate at a lower unit cost than smaller firms due to the ability to make bulk purchases, combine marketing expenses and share technology<br>• The new firm is likely to attract more customers, requiring a need to purchase more equipment. This could be done at a lower price per unit<br>• Advertising of both CK Hutch and Indosat could be combined, reducing the advertising costs<br>• As both firms would have used research and development departments, a merger would allow these to combine to reduce costs<br>• This means economies of scale are likely to be enjoyed if the firms merge<br><br>**AO4**<br><br>• Economies of scale do not always occur or give the expected results<br>• This expansion could result in pushing the merged firm beyond the minimum efficient scale, leading to diseconomies of scale<br>• Diseconomies occur when average costs increase as a firm expands<br>• Communication problems may occur due to the increased number of employees<br>• There may be more bureaucracy due to the increased size of the firm<br>• A larger gap between the management and the employees may occur due to the higher number of employees which could lead to reduced control<br>• As Indosat's +60 million customer base is growing, this could result in further diseconomies of scale |

## Type MS · Productivity and how to raise it

### Answer 7 of 11 · Question 2 part b · 1 mark

2023 JAN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Productivity and how to raise it

Answer 7 of 11 · Question 2 part b · 1 mark

2023 JAN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

| Question number | Which one of the following could be described as an economic need?<br><br>**Answer** | Mark |
|---|---|---|

Type MS · Productivity and how to raise it

Answer 8 of 11 · Question 3 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

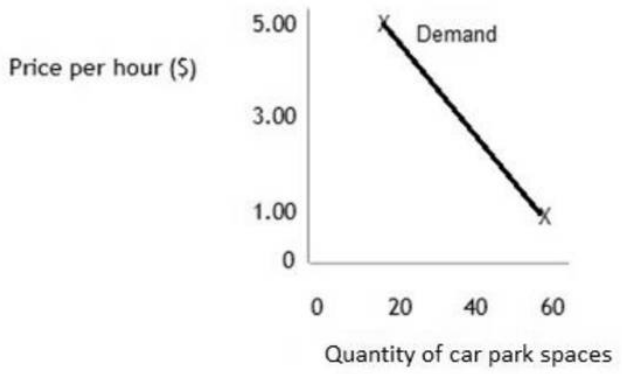
| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** government intervention<br><br>A is not correct because a minimum wage is not a resource used to produce goods and services<br>B is not correct because these are things expected to be true although there is no definite proof<br>C is not correct because a minimum wage does not have reduced average costs due to expansion | **(1)** |

| **Question number** | Which **one** of the following is likely to lead to an increase in the productivity of capital?<br>**Answer** | **Mark** |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** An increase in technological advances<br><br>A is not correct because this would lead to a decrease in productivity<br>B is not correct because this may hinder use of capital<br>D is not correct because this is not related to productivity | **(1)** |

Type MS · Productivity and how to raise it

Answer 8 of 11 · Question 3 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

| Question number | Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.<br>**Answer** | Mark |
|---|---|---|
| 3(c) | **AO2 3 marks**<br><br>Award 1 mark for a downward sloping demand curve, labelled<br>Award 1 mark for plotting $5.00 at a quantity of 20 on the demand curve<br>Award 1 mark for plotting $1.00 at a quantity of 60 on the demand curve<br><br>  <br> | **(3)** |

Type MS · Productivity and how to raise it

Answer 8 of 11 · Question 3 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse why the economy might have moved from $PPF_1$ to $PPF_2$.<br>**Indicative content** |
|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• The PPF shows the combinations of goods which can be produced with all available resources<br>• A decrease in the ability to produce both capital and consumer goods is shown in Figure 4 due to the inward shift of the PPF<br>• Negative economic growth would allow this to happen as it is possible there will have been a depletion of resources over time/a scarcity of resources (where an economy runs out of oil or coal)<br>• It could also occur if skilled workers are attracted to opportunities in other countries<br>• With the decrease in resources and/or emigration of skilled labour, it would be possible for production of both capital and consumer goods to decrease without an increase in the other |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Productivity and how to raise it

### Answer 8 of 11 · Question 3 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Economies of scale are falling average costs (in the long-run) due to expansion<br>• Diseconomies of scale are rising average costs (in the long-run) because a firm grows too large<br>• The combined number of subscribers will be 59 million, meaning that the unit costs are reduced because costs are spread over a larger number of customers<br>• By bringing together technology from both WarnerMedia and Discovery, broadcasting would be more efficient<br>• This means that Warner Bros. Discovery would be making better use of resources, leading to lower (long-term) average costs (technical economies)<br>• Managerial economies may be present as specialist managers of the numerous channels, such as CNN news channel, could oversee the whole network, rather than having separate people in charge of each one<br>• (Long-run) average costs could also be reduced as Warner Bros. Discovery could be advertised as one, therefore spreading the marketing costs and allowing marketing economies to take place<br>• As the company is so large, with a value of $150bn, financial economies are likely because it would be able to get access to money at lower interest rates than a smaller firm<br><br>**AO4**<br><br>• However, some employees may be unhappy as a result of the merger, meaning they may not work as efficiently and diseconomies of scale may occur<br>• Some employees may even leave if they are not able to adapt to any changes brought about due to the merger. This is likely to increase (long-run) average costs if Warner Bros. Discovery needs to recruit new employees<br>• Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the broadcaster relies on technology being used effectively, this may lead to diseconomies of scale<br>• The media company may have already reached the most efficient output and the lowest point on the (long-run) average cost curve<br>• It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years |

## Type MS · Productivity and how to raise it

### Answer 8 of 11 · Question 3 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Productivity and how to raise it

### Answer 8 of 11 · Question 3 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

| Question number | Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|
| | | |

## Type MS · Productivity and how to raise it

### Answer 9 of 11 · Question 4 part c · 12 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **4(a)** | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>$0.45 x 19 **(1)**<br><br>Award 1 mark for calculating correct total variable costs<br>= $8.55 **(1)**<br><br>Award 2 marks if total variable costs are correctly calculated as $8.55, even if no calculations are shown<br><br>Award 1 mark if total variable costs are calculated as 8.55, even if no calculations are shown<br><br>Do not award marks for the formula | **(2)** |

Type MS · Productivity and how to raise it

Answer 9 of 11 · Question 4 part c · 12 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse how the impact of external economies of scale on construction firms in India.<br><br>**Indicative content** |
|---|---|
| 4(b) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Construction firms in India, not just those along the new route between Hyderabad and Karnataka may benefit from infrastructure developments leading to external economies of scale<br>• External economies of scale occur when (long run) average costs decrease as the whole industry grows<br>• They can occur due to access to suppliers and skilled labour for many firms in the same industry<br>• The modernisation of the infrastructure of the Indian rail network and the introduction of the new rail line will allow raw materials such as iron ore and steel to be transported more easily across the country<br>• This will mean that construction firms in India may benefit from cheaper costs of transportation<br>• As a result, their overall costs are likely to decrease at the same time as production can increase owing to the greater accessibility of raw materials and other goods |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Productivity and how to raise it

Answer 9 of 11 · Question 4 part c · 12 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, evaluate the extent to which these government programmes may affect farming productivity in a country such as Egypt.<br><br>**Indicative content** |
|---|---|
| 4(c) | **AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)**<br><br>**AO2 and AO3**<br><br>• Productivity is the amount of output that can be produced with a given amount of resources<br>• Government programmes affecting land as a resource include drainage, irrigation, use of fertiliser and reclamation<br>• By increasing use of reclamation, it is possible to create new land where crops can grow, from previously infertile areas such as riverbeds and drained wetlands<br>• As a result, farmers have access to more efficient land resources on which to grow crops such as wheat<br>• Therefore, output can be increased, meaning that productivity for farmers in Egypt can be improved<br>• This improvement in productivity may allow farmers to invest further in measures such as irrigation (redirecting water from natural sources to land in need of more water to be productive)<br>• Therefore, becoming even more productive in the future<br><br>**AO4**<br><br>• However, in order for such programmes to work, farmers need access to areas such as former riverbeds as well as drainage equipment. This may be too expensive for many farmers<br>• It may take time for reclamation and irrigation to be effective, making it more difficult for wheat farmers to afford the necessary equipment, even with the raised price for wheat paid by the Egyptian Government<br>• Not all farmers are likely to be in favour of such programmes, especially if farming methods have been more traditional in their region<br>• This may make them averse to guidance on the use of irrigation and some may take time to adjust to the methods available<br>• As some fertilisers can harm wildlife, the environment and even people, it may not be straightforward to introduce such programmes and/or may require legal controls to be adhered to<br>• Therefore, the effect of land resource programmes on productivity may be reduced |

Type MS · Productivity and how to raise it

Answer 9 of 11 · Question 4 part c · 12 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–4 | • Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4). |
| **Level 2** | 5–8 | • Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4). |
| **Level 3** | 9–12 | • Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4). |

## Type MS · Productivity and how to raise it

### Answer 9 of 11 · Question 4 part c · 12 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

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Type MS · Productivity and how to raise it

Answer 10 of 11 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

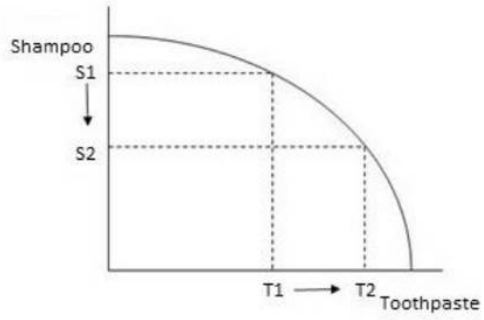
| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** Decreased incomes<br><br>A is not correct because this would increase demand<br>B is not correct because this would increase supply<br>C is not correct because this would reduce supply | **(1)** |

| **Question number** | Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of -1.3?<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Inferior<br><br>B is not correct because unitary goods have a numerical value equal to 1 or -1<br>C is not correct because this would have a high positive numerical value<br>D is not correct because this would have a positive numerical value | **(1)** |

## Type MS · Productivity and how to raise it

### Answer 10 of 11 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

| Question number | In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.<br><br>**Answer** | Mark |
|---|---|---|
| 3(c) | **AO2 3 marks**<br><br>Award 1 mark for drawing a production possibility curve (PPC) with correctly labelled axes<br>Award 1 mark for showing a decrease in shampoo on the PPC<br>Award 1 mark for showing an increase in toothpaste on the PPC<br>  <br> | (3) |

Type MS · Productivity and how to raise it

Answer 10 of 11 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados.<br><br>**Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• The minimum wage in Barbados increased by $2.25 (36%) per hour<br>• This means that a higher income is received by people who may have struggled with basic needs if the national minimum wage was left at $6.25/hour<br>• A 36% increase could be quite a substantial increase in the wages earned for some people in Barbados<br>• Therefore, more workers would be encouraged to work because they can enjoy a higher standard of living<br>• Thus, there is likely to be an increase in the quantity of labour supplied |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Productivity and how to raise it

Answer 10 of 11 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess the importance of the quality of labour on productivity in a country.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Quality of labour may increase as a result of education because workers would be able to develop skills with which they could become more efficient in the tasks needed to produce goods and services in the workplace<br>• Therefore, workers are likely to be able to produce more goods and services in a shorter period of time, leading to lower costs of production for firms<br>• This increase in productivity means that a firm may be able to enjoy higher profits due to lower costs, as well as a possible increase in revenue, if more products are available to sell<br>• An increase in immigration may lead to an increase in the quantity and quality of labour supplied<br>• This may result in increased competition between workers to provide the most efficient labour to firms in order to reduce their costs of production<br>• This may mean that some workers may aim to increase their education to become more productive<br><br>**AO4**<br><br>• However, it takes time for education to become effective as periods of study need to be completed before being used in the workplace<br>• This means that education may only impact productivity at a later date, making it difficult to measure its impact<br>• Skilled workers may emigrate, taking their ability to increase efficiency for a firm with them<br>• Immigration which increases the supply of skilled labour may lead to a reduction in wages, potentially demotivating workers and discouraging productivity<br>• Therefore, productivity may not always increase due to quality of labour, at least not in the short-run<br>• It may depend on the country and the levels of productivity within it or on technological advances in capital or land use |

## Type MS · Productivity and how to raise it

### Answer 10 of 11 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Productivity and how to raise it

Answer 10 of 11 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

| Question number | Calculate, the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Productivity and how to raise it

Answer 11 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 01 · extract 1 of 7 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Consumers aim to maximise benefits<br><br>A is not correct because firms often aim to maximise profit<br>C is not correct because consumers are giving up the products<br>D is not correct because these consumers would be calculating benefits | **(1)** |

| **Question number** | Which **one** of the following best describes the product?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1(b)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** An inferior good<br><br>A is not correct because YED does not determine whether a good is a public good<br>B is not correct because the YED would be positive<br>C is not correct because the YED would be positive and greater than 1 | **(1)** |

| **Question number** | What is meant by the term productivity?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award up to 2 marks for a correct definition<br><br>The amount of output produced **(1)** in relation to the resources used/time period **(1)** | |

## Type MS · Productivity and how to raise it

### Answer 11 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 01 · extract 2 of 7 · find part c in this mark scheme extract

| | | |
|---|---|---|
| | Accept any other appropriate response | **(2)** |

Type MS · Productivity and how to raise it

Answer 11 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 01 · extract 3 of 7 · find part c in this mark scheme extract

| Question number | State the formula for social costs.<br><br>**Answer** | Mark |
|---|---|---|
| 1(d) | **AO1 1 mark**<br><br>Award 1 mark for correct formula<br><br>Private costs + external costs<br><br>Accept any other appropriate response | **(1)** |

| Question number | Define the term producer.<br><br>**Answer** | Mark |
|---|---|---|
| 1(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>A person/company/country that creates/makes goods and/or services<br><br>Accept any other appropriate response | **(1)** |

| Question number | Calculate the **total costs per month** for the firm. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|
| 1(f) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br><br>€37 000 + (€170 x 650) **(1)**<br><br>Award 1 mark for calculating correct total costs<br><br>= €147 500 **(1)**<br><br>Award 2 marks if total costs per month are correctly calculated as €147 500 even if no calculations are shown<br><br>Award 1 mark if the answer given is 147 500, with or without calculations shown<br><br>Do not award marks for the formula | **(2)** |

## Type MS · Productivity and how to raise it

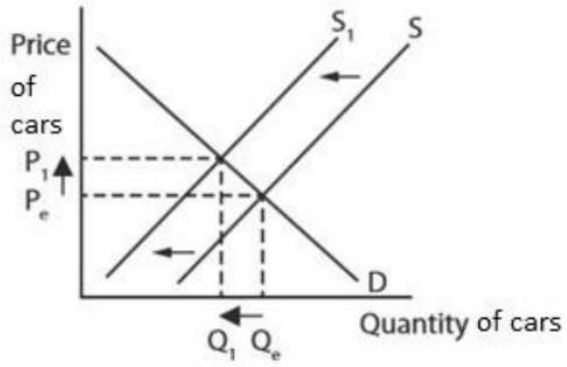
### Answer 11 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 01 · extract 4 of 7 · find part c in this mark scheme extract

Type MS · Productivity and how to raise it

Answer 11 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 01 · extract 5 of 7 · find part c in this mark scheme extract

| Question number | Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br><br>**Answer** | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for a leftward shift of the supply curve, labelled<br>Award 1 mark for a higher equilibrium price, labelled<br>Award 1 mark for a lower equilibrium quantity, labelled<br><br>  <br> | (3) |

| Question number | Explain **one** reason why the CMA may have made this decision.<br><br>**Answer** | Mark |
|---|---|---|
| 1(h) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• In order to prevent monopoly power **(1)** and so promote competition **(1)** as a firm with over 60% of the market may be less likely to innovate **(1)**<br><br>Accept any other appropriate response | (3) |

Type MS · Productivity and how to raise it

Answer 11 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 01 · extract 6 of 7 · find part c in this mark scheme extract

| **Question number** | With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters.<br><br>**Indicative content** |
|---|---|
| **1(i)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• When an industry needs labour to create a good/service, the demand for labour is a derived demand<br>• This is because the good/service cannot be produced without labour<br>• Therefore, woodcutters are needed to cut the wood with which to make the furniture (the final product)<br>• An increase in demand for furniture made of wood by 5% is likely to lead to an increase in the demand for woodcutters<br>• This is because the greater the demand for a good or service, the greater the demand for labour is likely to be |

| **Level** | **Mark** | **Descriptor** |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Productivity and how to raise it

### Answer 11 of 11 · Question 1 part c · 2 marks

2025 JUN · Paper 01 · extract 7 of 7 · find part c in this mark scheme extract

| Question number | Which **one** of the following options shows unobtainable production?<br><br>**Answer** | **Mark** |
|---|---|---|